

Think inside the box.

A better way to borrow
against your portfolio.

Box spread loans, explained.

SWIPE →

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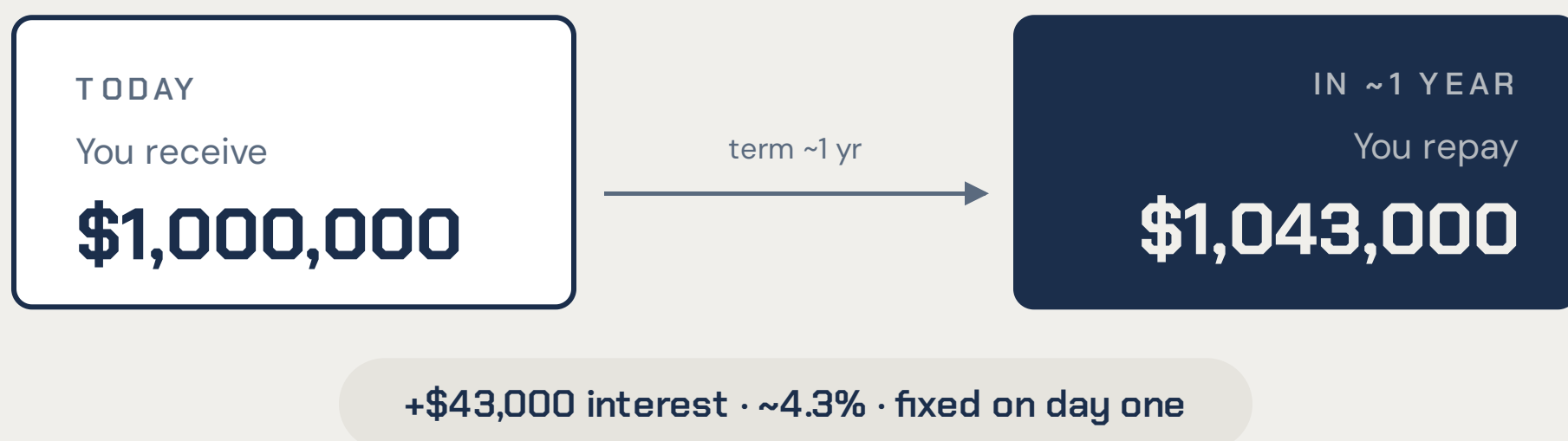
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WHAT IT IS

A box spread is a way to borrow against your portfolio, at near-Treasury rates.

It's a loan built from S&P 500 options. Sounds exotic.

Behaves like the simplest loan you've ever seen:



No application, no loan officer, no lien on your house. Your portfolio is the collateral. **The repayment is fixed the day you open it.**

Illustrative figures. ~4.3% reflects recent one-year SPX box levels as of September 2026; rates move daily.

THE RATE

The market sets the rate.
Not the bank.

COMPARE	BOX SPREAD	SBLOC / PAL	MARGIN LOAN
Interest rate	~4.3%	6.5–8%	8–13%
Rate type	Fixed	Variable	Variable
Who sets it	The market	The bank	The broker
Cost deductible	May be (§1256)	Rarely	Sometimes

Same collateral. **Different rate, different tax treatment.**

Illustrative ranges as of September 2026. Rates are set by the market and by lenders, and change. Deductibility depends on your circumstances and how loan proceeds are used.

THE TAX TREATMENT

The interest may be a deductible loss.

BOX SPREAD LOAN

May be treated as a §1256 loss.

A capital loss can offset capital gains, regardless of how the proceeds were used.

BANK INTEREST

Personal-use interest is rarely deductible.

Buy a car or pay a tax bill with an SBLOC, and the interest is usually just a cost.

Borrow the same dollars. **One may help at tax time.**

Tax treatment depends on your circumstances. Consult your tax adviser.

WHAT IT'S FOR

Cash without selling.

01 REFINANCE THE SBLOC

Same collateral, lower fixed rate. If you're paying a bank 7%, **the swap can pay for itself.**

02 THE BIG PURCHASE

A house, a business buy-in, a tax bill. Cash today, **no gains realized** to get it.

03 STAY INVESTED

Fund life while the portfolio compounds untouched. **The winners keep working.**

Margin-call risk applies; not suitable for everyone. Best fit: \$1M+ portfolios.

THE ECOSYSTEM

It runs even better next to direct indexing.

Direct indexing banks losses while it tracks the market. The box spread's cost lands in the same bucket, **a growing reserve that offsets your gains.**

One portfolio: market returns, a loss bank, and fixed-rate liquidity. **Nothing sold, nothing idle.**

SEE ALSO Our earlier carousel, Tax-Aware Investing: Direct Indexing & Box Spreads, on the STQ Capital page.

NEXT STEP

See your rate.

Send your current SBLOC or margin statement. We'll quote the box spread next to it, the annual difference, and the tax treatment.

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